

TITLE III - Board of Directors/Trustees and Officers

(Sec. 22 – 34-Revised Corporation Code)

SEC. 22. *The Board of Directors or Trustees of a Corporation; Qualification and Term.*

– Unless otherwise provided in this Code, the board of directors or trustees shall exercise the corporate powers, conduct all business, and control all properties of the corporation.

Directors shall be elected for a **term of one (1) year** from among the holders of stocks registered in the corporation's books, **while trustees shall be elected for a term not exceeding three (3) years from among the members of the corporation**. Each director and trustee shall hold office until the successor is elected and qualified. A director who ceases to own at least one (1) share of stock or a trustee who ceases to be a member of the corporation shall cease to be such.

The board of the following corporations vested with public interest shall have independent directors constituting at least twenty percent (20%) of such board:

a. Corporations covered by Section 17.2 of Republic Act No. 8799, otherwise known as "The Securities Regulation Code", namely those whose securities are registered with the Commission, corporations listed with an exchange or with assets of at least Fifty million pesos (P50,000,000.00) and having two hundred (200) or more holders of shares, each holding at least one hundred (100) shares of a class of its equity shares;

b. Banks and quasi-banks, NSSLAs, pawnshops, corporations engaged in money service business, pre-need, trust and insurance companies, and other financial intermediaries; and

c. Other corporations engaged in business vested with public interest similar to the above, as may be determined by the Commission, after taking into account relevant factors which are germane to the objective and purpose of requiring the election of an independent director, such as the extent of minority ownership, type of financial products or securities issued or offered to investors, public interest involved in the nature of business operations, and other analogous factors.

An independent director is a person who, apart from shareholdings and fees received from the corporation, is independent of management and free from any business or other relationship which could, or could reasonably be perceived to materially interfere with the exercise of independent judgment in carrying out the responsibilities as a director.

Independent directors must be elected by the shareholders present or entitled to vote *in absentia* during the election of directors. Independent directors shall be subject to rules and regulations governing their qualifications, disqualifications, voting requirements, duration of term and term limit, maximum number of board memberships and other requirements that the Commission will prescribe to strengthen their independence and align with international best practices.

Directors/Trustees – No more minimum number of five (5) and no more residency requirement – 22

Term of Directors – 1 year

Term of Trustees – not exceeding 3 years

*If a corporation vested with public interest – at **least 20% of the Board must be independent directors**, i.e. independent of management and free from any business or relationship that could affect exercise of independent judgment – 22 –*

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SEC. 23. Election of Directors or Trustees. – Except when the exclusive right is reserved for holders of founders' shares under Section 7 of this Code, each stockholder or member shall have the right to nominate any director or trustee who possesses all of the qualifications and none of the disqualifications set forth in this Code.

At all elections of directors or trustees, there must be present, either in person or through a representative authorized to act by written proxy, the owners of majority of the outstanding capital stock, or if there be no capital stock, a majority of the members entitled to vote. When so authorized in the bylaws or by a majority of the board of directors, the stockholders or members may also vote through remote communication or *in absentia*: *Provided*, That the right to vote through such modes may be exercised in corporations vested with public interest, notwithstanding the absence of a provision in the by-laws of such corporations.

A stockholder or member who participates through remote communication or *in absentia*, shall be deemed present for purposes of quorum.

The election must be by ballot if requested by any voting stockholder or member.

In stock corporations, stockholders entitled to vote shall have the right to vote the number of shares of stock standing in their own names in the stock books of the corporation at the time fixed in the bylaws or where the bylaws are silent, at the time of the election. The said stockholder may:

- (a) vote such number of shares for as many persons as there are directors to be elected;
- (b) cumulate said shares and give one (1) candidate as many votes as the number of directors to be elected multiplied by the number of the shares owned; or
- (c) distribute them on the same principle among as many candidates as may be seen fit: *Provided*, That the total number of votes cast shall not exceed the number of shares owned by the stockholders as shown in the books of the corporation multiplied by the whole number of directors to be elected: *Provided, however*, That no delinquent stock shall be voted. Unless otherwise provided in the articles of incorporation or in the bylaws, members of non-stock corporations may cast as many votes as there are trustees to be elected but may not cast more than one (1) vote for one (1) candidate. Nominees for directors or trustees receiving the highest number of votes shall be declared elected.

If no election is held, or the owners of majority of the outstanding capital stock or majority of the members entitled to vote are not present in person, by proxy, or through remote communication or not voting *in absentia* at the meeting, such meeting may be adjourned and the corporation shall proceed in accordance with Section 25 of this Code.

The directors or trustees elected shall perform their duties as prescribed by law, rules of good corporate governance, and by-laws of the corporation.

Voting of Stockholders/Members – *stockholders or members are allowed to vote through remote communication or in absentia in election of directors, and in shareholders meetings Shareholders who participate through remote communication or in absentia are deemed present for purposes of quorum.*

The right of a stockholder to vote by remote communications or in absentia is recognized in corporations vested with public interest, even if provision is absent in its by-laws. – 23.–

SEC to issue rules and regulations re participation and voting through remote communication or in absentia, taking into account the company's scale, number of shareholders or members, structure and other factors consistent with the protection and promotion of shareholders' or members' meetings.

Manner of Voting:

1. *Straight voting – a stockholder “may vote such number of shares for as many persons as there are directors: to be chosen.*
2. *Cumulative voting for one candidate- a stockholder is allowed to cumulate his voting shares and “give one candidate as many votes as the number of directors to be elected multiplied by the number of shares shall equal”*
3. *Cumulative voting by distribution- a stockholder may again cumulate his voting shares by multiplying the number of his voting shares by the number of directors to be elected and distribute them to his favored candidates as he shall see fit.”*
 - a. *Voting requirement: majority of the outstanding capital stock.*
 - b. *Unpaid subscription can be voted, provided they are not delinquent.*

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Manner of Voting:

1. *Straight voting* – a stockholder “may vote such number of shares for as many persons as there are directors: to be chosen.

2. *Cumulative voting for one candidate*- a stockholder is allowed to cumulate his voting shares and “give one candidate as many votes as the number of directors to be elected multiplied by the number of shares shall equal”

3. *Cumulative voting by distribution*- a stockholder may again cumulate his voting shares by multiplying the number of his voting shares by the number of directors to be elected and distribute them to his favored candidates as he shall see fit.”

a. Voting requirement: majority of the outstanding capital stock.

b. Unpaid subscription can be voted, provided they are not delinquent.

Examples:

A owns 100 shares

of directors to be voted

A can cast his vote to the five directors at 100 votes each.

2. A's votes of $100 \times 5 = 500$.

A can cast his vote to only one candidate.

3. A's votes of 500 can be distributed to any candidate of his choice.

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SEC. 24. Corporate Officers. – Immediately after their election, the directors of a corporation must formally organize and elect:

- (a) a president, who must be a director;
- (b) a treasurer, who must be a resident;
- (c) a secretary, who must be a citizen and resident of the Philippines; and
- (d) such other officers as may be provided in the bylaws. If the corporation is vested with public interest, the board shall also elect a compliance officer. The same person may hold two (2) or more positions concurrently, except that **no one shall act as president and secretary or as president and treasurer** at the same time, unless otherwise allowed in this Code.

The officers shall manage the corporation and perform such duties as may be provided in the bylaws and/or as resolved by the board of directors.

Qualifications of corporate officers

- (a) a president, who must be a director;
- (b) a treasurer, who must be a resident;
- (c) a secretary, who must be a citizen and resident of the Philippines; and

Corporation is vested with public interest, the board shall also elect a **compliance officer**.

No one shall act as president and secretary or as president and treasurer.

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SEC. 25. *Report of Election of Directors, Trustees and Officers, Non-holding of Election and Cessation from Office.* – Within thirty (30) days after the election of the directors, trustees and officers of the corporation, the secretary, or any other officer of the corporation, shall submit to the Commission, the names, nationalities, shareholdings, and residence addresses of the directors, trustees, and officers elected.

The non-holding of elections and the reasons therefor shall be reported to the Commission within thirty (30) days from the date of the scheduled election. The report shall specify a new date for the election, which shall not be later than sixty (60) days from the scheduled date.

If no new date has been designated, or if the rescheduled election is likewise not held, the Commission may, upon the application of a stockholder, member, director or trustee, and after verification of the unjustified non-holding of the election, summarily order that an election be held. The Commission shall have the power to issue such orders as may be appropriate, including orders directing the issuance of a notice stating the time and place of the election, designated presiding officer, and the record date or dates for the determination of stockholders or members entitled to vote.

Notwithstanding any provision of the articles of incorporation or bylaws to the contrary, the shares of stock or membership represented at such meeting and entitled to vote shall constitute a quorum for purposes of conducting an election under this section.

Should a director, trustee or officer die, resign or in any manner cease to hold office, the secretary, or the director, trustee or officer of the corporation, shall, within seven (7) days from knowledge thereof, report in writing such fact to the Commission.

Report of Election of Directors, Trustees and Officers, Non-holding of Election and Cessation from Office.

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SEC. 26. *Disqualification of Directors, Trustees or Officers.* – A person shall be disqualified from being a director, trustee, or officer of any corporation if, within five (5) years prior to the election or appointment as such, the person was:

(a) Convicted by final judgment:

- (1) Of an offense punishable by imprisonment for a period exceeding six (6) years;
- (2) For violating this Code; and
- (3) For violating Republic Act No. 8799, otherwise known as “The Securities Regulation Code”;

(b) Found administratively liable for any offense involving fraudulent acts; and

(c) By a foreign court or equivalent foreign regulatory authority for acts, violations or misconduct similar to those enumerated in paragraphs (a) and (b) above.

The foregoing is without prejudice to qualifications or other disqualifications, which the Commission, the primary regulatory agency, or the Philippine Competition Commission may impose in its promotion of good corporate governance or as a sanction in its administrative proceedings.



*Disqualification
of Directors,
Trustees or
Officers.*

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SEC. 27. Removal of Directors or Trustees. – Any director or trustee of a corporation may be removed from office by a vote of the stockholders holding or representing at least two-thirds (2/3) of the outstanding capital stock, or in a nonstock corporation, by a vote of at least two-thirds (2/3) of the members entitled to vote: *Provided*, That such removal shall take place either at a regular meeting of the corporation or at a special meeting called for the purpose, and in either case, after previous notice to stockholders or members of the corporation of the intention to propose such removal at the meeting. A special meeting of the stockholders or members for the purpose of removing any director or trustee must be called by the secretary on order of the president, or upon written demand of the stockholders representing or holding at least a majority of the outstanding capital stock, or a majority of the members entitled to vote. If there is no secretary, or if the secretary, despite demand, fails or refuses to call the special meeting or to give notice thereof, the stockholder or member of the corporation signing the demand may call for the meeting by directly addressing the stockholders or members. Notice of the time and place of such meeting, as well as of the intention to propose such removal, must be given by publication or by written notice prescribed in this Code. Removal may be with or without cause: *Provided*, That removal without cause may not be used to deprive minority stockholders or members of the right of representation to which they may be entitled under Section 23 of this Code.

The Commission shall, *motu proprio* or upon verified complaint, and after due notice and hearing, order the removal of a director or trustee elected despite the disqualification, or whose disqualification arose or is discovered subsequent to an election. The removal of a disqualified director shall be without prejudice to other sanctions that the Commission may impose on the board of directors or trustees who, with knowledge of the disqualification, failed to remove such director or trustee.

Removal of Directors or Trustees

A director of a corporation may be removed with or without cause at a meeting held for that purpose by a vote of stockholders holding or representing at least 2/3 of the OCS, or if a corporation is a non-stock corporation, by a vote of at least 2/3 of the members entitled to vote.

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SEC. 28. Vacancies in the Office of Director or Trustee; Emergency Board. – Any vacancy occurring in the board of directors or trustees other than by removal or by expiration of term may be filled by the vote of at least a majority of the remaining directors or trustees, if still constituting a quorum; otherwise, said vacancies must be filled by the stockholders or members in a regular or special meeting called for that purpose.

When the vacancy is due to term expiration, the election shall be held no later than the day of such expiration at a meeting called for that purpose. When the vacancy arises as a result of removal by the stockholders or members, the election may be held on the same day of the meeting authorizing the removal and this fact must be so stated in the agenda and notice of said meeting. In all other cases, the election must be held no later than forty-five (45) days from the time the vacancy arose. A director or trustee elected to fill a vacancy shall be referred to as replacement director or trustee and shall serve only for the unexpired term of the predecessor in office.

However, when the vacancy prevents the remaining directors from constituting a quorum and emergency action is required to prevent grave, substantial, and irreparable loss or damage to the corporation, the vacancy may be temporarily filled from among the officers of the corporation by unanimous vote of the remaining directors or trustees. The action by the designated director or trustee shall be limited to the emergency action necessary, and the term shall cease within a reasonable time from the termination of the emergency or upon election of the replacement director or trustee, whichever comes earlier. The corporation must notify the Commission within three (3) days from the creation of the emergency board, stating therein the reason for its creation.

Any directorship or trusteeship to be filled by reason of an increase in the number of directors or trustees shall be filled only by an election at a regular or at a special meeting of stockholders or members duly called for the purpose, or in the same meeting authorizing the increase of directors or trustees if so stated in the notice of the meeting.

In all elections to fill vacancies under this section, the procedure set forth in Sections 23 and 25 of this Code shall apply.

Election of Replacement

Directors/Trustees – *when vacancy due to term expiration, the election should be held no later than the day of such expiration; when vacancy is due to a removal, the election may be held on the same day as the removal; but in both cases, no later than 45 days from the vacancy; term of replacement director or trustee is only for the unexpired term – 28*

Election of an emergency director/emergency board – is now allowed when there is no quorum in the board of directors due to resignation, death or disqualification *and* emergency action is required to prevent grave, substantial, and irreparable loss or damage to the corporation, the vacancy may be temporarily filled from among the officers of the corporation by unanimous vote of the remaining directors. The emergency director serves only to address the emergency and ceases when a replacement director is elected. The SEC must be notified – 28

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SEC. 29. Compensation of Directors *or* Trustees. – In the absence of any provision in the by-laws fixing their compensation, the directors or trustees shall not receive any compensation in their capacity as such, except for reasonable per diems: *Provided however*, That the stockholders representing at least a majority of the outstanding capital stock or majority of the members may grant directors or trustees with compensation and approve the amount thereof at a regular or special meeting.

In no case shall the total yearly compensation of directors exceed ten (10%) percent of the net income before income tax of the corporation during the preceding year.

Directors or trustees shall not participate in the determination of their own per diems or compensation.

Corporations vested with public interest shall submit to their shareholders and the Commission, an annual report of the total compensation of each of their directors or trustees.

*Compensation of Directors **or** Trustees*

No entitled to compensation EXCEPT for reasonable Per diem

BUT stockholder representing majority of the OCS or majority of the members may grant the directors or Trustees with compensation.

LIMITATION: YEARLY COMPENSATION of directors should not exceed 10% of the net income of the corporation during the preceding year.

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SEC. 30. *Liability of Directors, Trustees or Officers.* –

Directors or trustees who willfully and knowingly vote for or assent to patently unlawful acts of the corporation or who are guilty of gross negligence or bad faith in directing the affairs of the corporation or acquire any personal or pecuniary interest in conflict with their duty as such directors or trustees shall be liable jointly and severally for all damages resulting therefrom suffered by the corporation, its stockholders or members and other persons.

A director, trustee, or officer shall not attempt to acquire, or acquire any interest adverse to the corporation in respect of any matter which has been reposed in them in confidence, and upon which, equity imposes a disability upon themselves to deal in their own behalf; otherwise the said director, trustee, or officer shall be liable as a trustee for the corporation and must account for the profits which otherwise would have accrued to the corporation.

*Liability of Directors,
Trustees or Officers.*

*DOCTRINE OF
CORPORATE/
BUSINESS OPPORTUNITY*

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SEC. 31. *Dealings of Directors, Trustees or Officers with the Corporation.* – A contract of the corporation with (1) one or more of its directors, trustees, officers or their spouses and relatives within the fourth civil degree of consanguinity or affinity is voidable, at the option of such corporation, unless all the following conditions are present:

- (a) The presence of such director or trustee in the board meeting in which the contract was approved was not necessary to constitute a quorum for such meeting;
- (b) The vote of such director or trustee was not necessary for the approval of the contract;
- (c) The contract is fair and reasonable under the circumstances;
- (d) In case of corporations vested with public interest, material contracts are approved by at least two-thirds (2/3) of the entire membership of the board, with at least a majority of the independent directors voting to approve the material contract; and**
- (e) In case of an officer, the contract has been previously authorized by the board of directors.

Where any of the first three (3) conditions set forth in the preceding paragraph is absent, in the case of a contract with a director or trustee, such contract may be ratified by the vote of the stockholders representing at least two-thirds (2/3) of the outstanding capital stock or of at least two-thirds (2/3) of the members in a meeting called for the purpose: *Provided*, That full disclosure of the adverse interest of the directors or trustees involved is made at such meeting and the contract is fair and reasonable under the circumstances.

Contract of director with corporation.

The law allows dealings by a director with the corporation of which he is a member of the board. If all the conditions set forth by Sec. 31 are complied with, then it is **VALID** otherwise it is voidable “at the option of such corporation”.

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SEC. 32. *Contracts Between Corporations with Interlocking Directors.* – Except in cases of fraud, and provided the contract is fair and reasonable under the circumstances, a contract between two (2) or more corporations having interlocking directors shall not be invalidated on that ground alone: *Provided*, That if the interest of the interlocking director in one (1) corporation is substantial and the interest in the other corporation or corporations is merely nominal, the contract shall be subject to the provisions of the preceding section insofar as the latter corporation or corporations are concerned.

Stockholdings exceeding twenty (20%) percent of the outstanding capital stock shall be considered substantial for purposes of interlocking directors.

Contracts Between Corporations with Interlocking Directors

Interlocking director – one who serves as a director in two or more corporations.

A contract between two or more corporations having interlocking director holding substantial interest in one corporation and his interest in the other is merely nominal, shall not be invalidated on that ground alone but shall be subject to the following conditions:

- 1. The contract is fair and reasonable*
- 2. There is no fraud*
- 3. The interlocking director's presence is not necessary to constitute a quorum in both corporations; and*
- 4. His vote is not necessary for the approval of the contract.*

Substantial interest for purposes of interlocking directors requires stockholders exceeding 20% of the outstanding capital stock.

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SEC. 33. *Disloyalty of a Director.* – Where a director, by virtue of such office, acquires a business opportunity which should belong to the corporation, thereby obtaining profits to the prejudice of such corporation, the director must account for and refund to the latter all such profits, unless the act has been ratified by a vote of the stockholders owning or representing at least two-thirds (2/3) of the outstanding capital stock. This provision shall be applicable, notwithstanding the fact that the director risked one's own funds in the venture.

Disloyalty of a Director

Should a director acquire for himself a business opportunity which should belong to the corporation, the profit obtained shall be refunded to the corporation notwithstanding the fact that the director risked his own funds in the venture.

EXCEPTION: If it was ratified by the stockholders representing at least 2/3 of the OCS.

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SEC. 34. Executive, Management, and Other Special Committees. – If the bylaws so provide, the board may create an executive committee composed of at least three (3) directors. Said committee may act, by majority vote of all its members, on such specific matters within the competence of the board, as may be delegated to it in the bylaws or by majority vote of the board, except with respect to the:

- (a) approval of any action for which shareholders' approval is also required;
- (b) filling of vacancies in the board;
- (c) amendment or repeal of bylaws or the adoption of new bylaws;
- (d) amendment or repeal of any resolution of the board which by its express terms is not amendable or repealable; and
- (e) distribution of cash dividends to the shareholders.

The board of directors may create special committees of temporary or permanent nature and determine the members' term, composition, compensation, powers, and responsibilities.

Executive, Management, and Other Special Committees.

The executive committee is composed of

Not less than three directors, appointed by the board. By a majority vote, the committee can act on matters within the competence of the board as may be delegated to it by the bylaws or by the board.

BUT IT CANNOT ACT ON THE FOLLOWING:

- a. Matters needing stockholders' approval;*
- b. Filling-up of board vacancies*
- c. Amendment, repeal of by-laws or adoption of new by-laws*
- d. Amendment of an irrevocable board resolutions;*
- e. Distribution of cash dividends to the shareholders.*